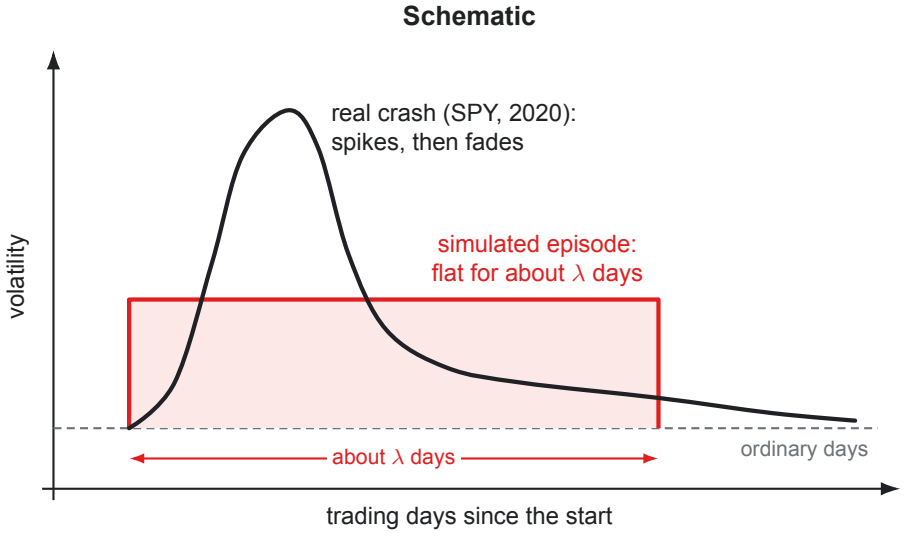
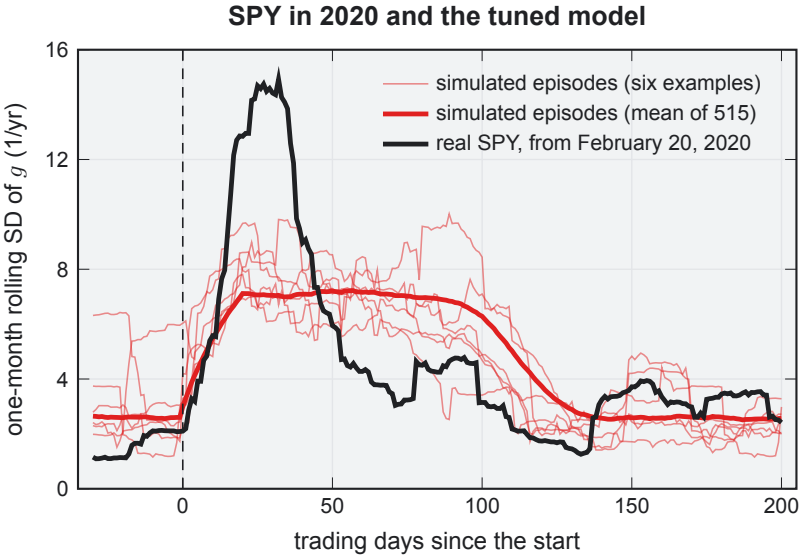

Schematic
real crash (SPY, 2020):
spikes, then fades
simulated episode:
flat for about λ days
volatility
about λ days
ordinary days
trading days since the start


SPY in 2020 and the tuned model
simulated episodes (six examples)
simulated episodes (mean of 515)
real SPY, from February 20, 2020
one-month rolling SD of g (1/yr)
16
12
8
4
0
0
50
100
150
200
trading days since the start